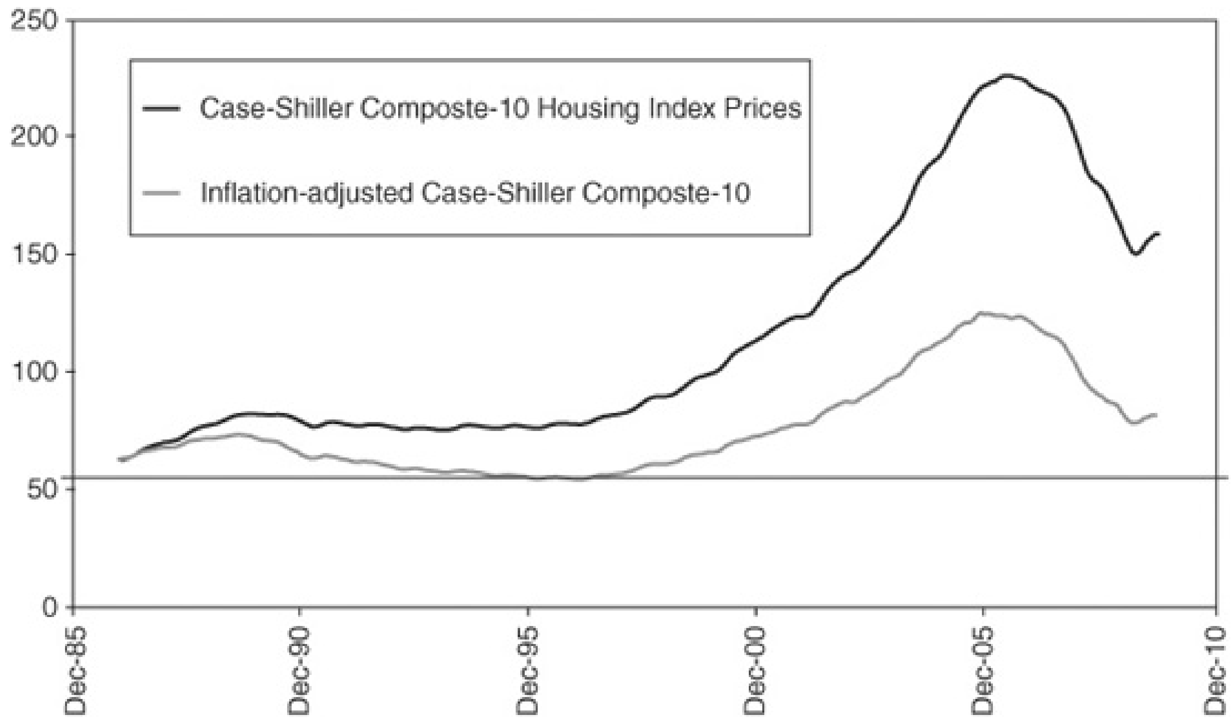
House Price Index versus the Consumer Price Index



with them. Prices are approaching their long-term inflation-adjusted level as of this writing.

Figure 9-9 represents the year-over-year increase in housing, and there are several points of interest on the chart. The high-inflation years of the late 1970s and early 1980s drove housing prices up at double-digit rates. In the early 1990s, a recession and the Gulf War caused prices to flatten. Housing prices climbing steadily from 1995 until 2006, and then a housing collapse drove prices sharply lower in 2008 and well into 2009.

In retrospect, values during 2000 to 2005 are of particular interest. Housing prices continued upward during a difficult period in the U.S. economy, gaining between 4 and 7 percent per year. This advance occurred despite a collapse in the stock market, an economic recession, the tragic events of September 11, 2001, and two wars.

There were three main reasons for the increase in housing prices during the 2000–2003 period. First, people wanted to put their money into something they could see and touch after experiencing a collapse in the stock market. Second, mortgage

FIGURE 9-9